

1 Baseline Overlapping Generations Model

1.1 The Environment

1.1.1 Consumers and Demographics

People live for two periods: in the first period they are young and in the second they are old. After that, they die.

A young individual supplies inelastically 1 unit of labor and receives a labor income w_t . Old individuals cannot work, so they don't have labor income. Consumers internalize that each unit of savings in period t will be converted to $1 + r_{t+1}$ units in the next period.¹

Consumers derive utility from consuming and have a life-time utility given by $U = u(c_{Y,t}) + \beta u(c_{O,t+1})$, where β is the discount factor, $c_{Y,t}$ (resp. $c_{O,t}$) is the consumption of a young (resp. old) person at time t , and $u(c)$ is the period utility function, which is assumed to be increasing $u'(c) > 0$ and concave $u''(c) < 0$. The typical specification we will use is the logarithmic: $u(c) = \ln c$.

On average, a young person gives rise to n new young people in the next period.² That is, letting $N_{Y,t}$, $N_{O,t}$ be the amount of young people and old people, respectively, at time t , and $N_t := N_{Y,t} + N_{O,t}$ be the total amount of people alive at period t .

Remark 1 *We have:*

1. *Given that every young individual becomes old in the next period, we have: $N_{O,t+1} = N_{Y,t}$.*
2. *Given that, on average, a young person gives rise to n new young people in the next period, we have: $N_{Y,t+1} = n \cdot N_{Y,t}$.*
3. *Using the first in the second, we have: $N_{Y,t+1} = n \cdot N_{O,t+1}$ (also, which is used in the next point: $N_{Y,t} = n \cdot N_{O,t}$).*
4. *So, population in the next period is given by: $N_{t+1} = n \cdot N_t$.*

Proof: $N_{t+1} = N_{Y,t+1} + N_{O,t+1} = n \cdot N_{Y,t} + N_{Y,t} = n \cdot N_{Y,t} + n \cdot N_{O,t} = n \cdot N_t$.³

¹Consumers lend money to firms, who will pay back next period with interests r_{t+1} .

²Note that if $n = 1$, then every individual would be substituted by another new individual: there would be constant population. Then, $n > 1$ implies population growth, and $n < 1$ implies that population is declining.

³Where in the first and last equality, we use the definition of total population; in the second equality, we use (1) and (2); and in the third one, we use (3).

1.1.2 Firms

There is a representative firm that uses labor L_t and capital K_t to produce Y_t units of a homogeneous final good, according to a neoclassical production function $Y_t = F(K_t, L_t) := AK_t^\alpha L_t^{1-\alpha}$.

Labor and capital are supplied by consumers and the final good is sold to consumers.

The final good is the numeraire (that is, the price of the final good is 1, the values are expressed in units of the final good), and the representative firm takes the prices of labor w_t and capital r_t as given, and that a fraction δ of capital gets depreciated.

1.2 Equilibrium

1.2.1 Firm problem

The representative firm chooses the amount of labor L_t and capital K_t to produce a given amount of final output Y_t given its production function $F(L_t, K_t)$ and the price of factors w_t, r_t , in order to maximize profits. That is, the firm solves:

$$\max_{L_t, K_t} F(L_t, K_t) - (r_t + \delta)K_t - w_t L_t$$

First order conditions:

$$\begin{aligned} [K_t] : \quad & \alpha \frac{Y_t}{K_t} - (r_t + \delta) = 0, \\ [L_t] : \quad & (1 - \alpha) \frac{Y_t}{L_t} - w_t = 0. \end{aligned}$$

The first one implies that capital costs $(r_t + \delta)K_t$ are a fraction α of revenues Y_t . Whereas the second one implies that labor costs $w_t L_t$ are a fraction $1 - \alpha$ of revenues Y_t . So, combining them, we have that total costs equal revenues; that is: the representative firm is making zero profits.

1.2.2 Consumers' Problem

Consumers decide how much to consume in each period subject to their budget constraints; that is:

$$\begin{aligned} \max_{c_{Y,t}, c_{O,t+1}} \quad & u(c_{Y,t}) + \beta u(c_{O,t+1}), \\ \text{s.t.} \quad & w_t = c_{Y,t} + s_{Y,t} \quad (1\text{st period budget constraint}), \\ & (1 + r_{t+1})s_t = c_{O,t+1} + s_{O,t+1} \quad (2\text{nd period budget constraint}). \end{aligned}$$

Note that there is no incentive to save in the second period, so old consumers will consume all their savings from the first period: $c_{O,t+1} = (1 + r_{t+1})s_t$.⁴ Therefore, the choice of savings when young $s_{Y,t}$ determines both the level of consumption when young $c_{Y,t}$ (from the 1st period budget constraint), and the level of consumption when old (from the 2nd period budget constraint plus the result that $s_{O,t+1} = 0$). So, the consumer's problem can be written equivalently as:

$$\max_{s_{Y,t}} u(w_t - s_{Y,t}) + \beta u((1 + r_{t+1})s_{Y,t}).$$

This captures the trade-off the consumer faces in the first period when deciding how much to save: each unit of present foregone consumption will be converted into $1 + r_{t+1}$ units of future consumption. That is, saving more in the first period decreases consumption (and thus utility) in the first period, but increases consumption (and thus utility) in the second period. The first order condition is:⁵

$$U'(s_{Y,t}) = -u'(w_t - s_{Y,t}) + \beta(1 + r_{t+1})u'((1 + r_{t+1})s_{Y,t}) = 0. \quad (1)$$

This first order condition defines implicitly savings at the young stage $s_{Y,t}$ as a function of factor prices w_t, r_{t+1} . Before getting the explicit solution for the logarithmic utility case, let's analyze how consumers change their savings decision as factor prices change:

- $\frac{\partial s_{Y,t}}{\partial w_t} > 0$ (that is, an increase in wages leads to an increase in savings). Intuition: For a given level of savings $s_{Y,t}$, higher w_t implies higher present consumption; and, since $u(c)$ is concave, this implies that the marginal utility of present consumption decreases, making future consumption relatively more attractive: life-time utility can be increased by increasing savings $s_{Y,t}$.
- The sign of $\frac{\partial s_{Y,t}}{\partial r_{t+1}}$ is ambiguous as there are two conflicting forces:
 - **Substitution effect** ($\uparrow r_{t+1} \rightarrow \uparrow s_{Y,t}$): Higher r_{t+1} implies that each unit of savings in period t is transformed into more units of future consumption, making saving more attractive (equivalently, present consumption becomes more expensive).

⁴One could get positive savings at the moment of death if either (i) the period of death were uncertain (allowing people to live more than two periods with some probability), or (ii) people cared about leaving a bequest to new generations.

⁵Recall the definition of derivative: $u'(c) := \lim_{\Delta c \rightarrow 0} \frac{u(c+\Delta c) - u(c)}{\Delta c}$. That is, $u'(c)$ tells us that for small changes of c , Δc , utility will increase at the rate $u'(c)\Delta c$. Now, for a small change of s , Δs , present consumption changes $\Delta c_t = -\Delta s$, and future consumption by $\Delta c_{t+1} = (1 + r_{t+1})\Delta s$; so life-time utility changes by $-\Delta s \cdot u'(c_{Y,t}) + \beta(1 + r_{t+1})\Delta s \cdot u'(c_{O,t+1})$. If this is positive (resp. negative), the consumer would get a higher utility by choosing $s + \Delta s$ (resp. $s - \Delta s$) instead of s .

- **Income effect** ($\uparrow r_{t+1} \rightarrow \downarrow s_{Y,t}$): For a given $s_{Y,t}$, higher r_{t+1} implies higher future consumption, and since u is concave, then the marginal utility of future consumption decreases; so they would also prefer to consume more today.

As we will see below, in the logarithmic case, the two effects exactly offset and savings are independent of the interest rate.

1.2.3 Labor market clearing

Labor market clearing states that the wage w_t must be such that labor demand L_t equals labor supply $N_{Y,t}$ (recall that only young individuals supply inelastically one unit of labor):

$$L_t = N_{Y,t}.$$

1.2.4 Capital market clearing

Let S_t be the aggregate level of savings in the economy at period t . At this point, we know that old people don't save (i.e., $s_{O,t} = 0$) and that young people save $s_{Y,t}$ (recall it is obtained from solving the FOC given in Equation 1, given some values of w_t and r_{t+1}) and there are $N_{Y,t}$ young people; so, we have:

$$S_t = N_{Y,t} s_{Y,t}.$$

Consumers lend these savings to firms, which want to borrow K_{t+1} units of final good to buy capital (in equilibrium, the interest rate r_{t+1} must be such that the supply of savings S_t equals the demand for savings K_{t+1} ; i.e., $K_{t+1} = S_t$). In the next period, firms (i) use this capital to produce output (i.e., $Y_{t+1} = F(K_{t+1}, L_{t+1})$), (ii) sell the capital at the market price $(1 - \delta)S_t$ (its value has depreciated),⁶ and (iii) pays back the loan plus interests: $S_t(1 + r_{t+1})$.⁷ Then, we repeat: firms borrow the aggregate savings at $t + 1$ and use it to buy capital: $K_{t+2} = S_{t+1} = N_{Y,t+1} s_{Y,t+1}$, etc.

The aggregate investment in new capital I_t is

$$I_t = K_{t+1} - (1 - \delta)K_t.$$

That is, if $K_{t+1} > (1 - \delta)K_t$ then there is positive investment in period t ; whereas if $K_{t+1} < (1 - \delta)K_t$, then there is negative investment (disinvestment).

⁶They don't necessarily need to explicitly sell the capital, but this is the value it has at that time, and they could potentially sell it. In particular, if the desired capital for the following period K_{t+2} is lower than $S_t(1 - \delta)$ (i.e., $K_{t+2} < K_{t+1}(1 - \delta)$), then the firm has sold capital from last period for a value of at least $K_{t+1}(1 - \delta) - K_{t+2}$.

⁷Note that the part that it needs to pay from revenues is $S_t(1 + r_{t+1}) - (1 - \delta)S_t = (r_{t+1} + \delta)S_t$.

1.2.5 Aggregate resource constraint

Recall the budget constraints of young and old individuals are, respectively:

$$\begin{aligned} w_t &= c_{Y,t} - s_{Y,t}, \\ r_t s_{Y,t-1} &= c_{O,t} + \underbrace{s_{O,t}}_{=0} - s_{Y,t-1}. \end{aligned}$$

Adding up for all the consumers in period t (recall there are $N_{Y,t}$ young individuals and $N_{O,t}$ old ones):

$$N_{Y,t} w_t + N_{O,t} s_{Y,t-1} r_t = N_{Y,t} (c_{Y,t} + s_{Y,t}) + N_{O,t} (c_{O,t} - s_{Y,t-1}).$$

Now, we use:

- From the labor market clearing condition: $N_{Y,t} w_t = L_t w_t$.
- From the demographics section, we know that current period old people are the previous period young: $N_{O,t} = N_{Y,t-1}$. And in the capital market clearing section, we have seen that $N_{Y,t-1} s_{Y,t-1} = S_{t-1} = K_t$. Therefore: $N_{O,t} s_{Y,t-1} r_t = K_t r_t$.
- Aggregate consumption C_t is the sum of the consumption made by young and old people; that is: $N_{Y,t} c_{Y,t} + N_{O,t} c_{O,t} = C_t$.
- As in the second point for t and $t-1$ respectively: $N_{Y,t} s_{Y,t} = K_{t+1}$ and $-N_{O,t} s_{Y,t-1} = -K_t$.

So, we have:

$$L_t w_t + K_t r_t = C_t + K_{t+1} - K_t.$$

Next, from the firm problem, we had:

- $L_t w_t = (1 - \alpha) Y_t$;
- $K_t r_t = \alpha Y_t - K_t \delta$.

Adding them, we have $L_t w_t + K_t r_t = (1 - \alpha) Y_t + \alpha Y_t - K_t \delta = Y_t - K_t \delta$. And using this in the previous equation, we have:

$$Y_t = C_t + K_{t+1} - (1 - \delta) K_t.$$

Finally, using the definition of investment in the capital market clearing subsection, we get the aggregate resource constraint:

$$Y_t = C_t + I_t. \tag{2}$$

1.3 The Law of Motion of Capital

Let $k_t := \frac{K_t}{L_t}$ be the capital per capita at period t . We have the following difference equation characterizing the evolution of capital over time (given an initial level of capital K_0):

$$k_{t+1} = \frac{s_{Y,t}(f(k_t) - f'(k_t)k_t, f'(k_{t+1}))}{n}. \quad (3)$$

Derivation:

- In the consumers' problem section, we have seen that $s_{Y,t}$ is a function of w_t, r_{t+1} (we can state the existence of this relationship explicitly writing $s_{Y,t}(w_t, r_{t+1})$).
- In the capital market clearing section, we have seen that $K_{t+1} = N_{Y,t} s_{Y,t}(w_t, r_{t+1})$.
- Recall from Remark 1 that $N_{Y,t}$ (and from the labor market clearing condition, we know $N_{Y,t} = L_t$) will be growing at a constant rate over time ($\frac{L_{t+1}}{L_t} = \frac{N_{Y,t+1}}{N_{Y,t}} = n$); so, we will try to find a steady state in per capita terms: let $k_t := \frac{K_t}{L_t}$. Therefore: $k_{t+1} := \frac{K_{t+1}}{L_{t+1}} = \frac{N_{Y,t}}{n \cdot L_t} s_{Y,t}(w_t, r_{t+1}) = \frac{s_{Y,t}(w_t, r_{t+1})}{n}$.
- Now, we will use that the neoclassical production function has constant returns to scale; that is, for any scalar $\gamma \geq 0$, it is satisfied that $F(\gamma \cdot K_t, \gamma \cdot L_t) = \gamma \cdot F(K_t, L_t)$. In particular, taking $\gamma = \frac{1}{L_t}$, we have: $\frac{F(K_t, L_t)}{L_t} = F(\frac{K_t}{L_t}, \frac{L_t}{L_t}) = f(k_t)$.
- If we take the derivative with respect to:
 1. K_t : $\frac{\partial(\frac{F(K_t, L_t)}{L_t})}{\partial K_t} = \frac{\partial F(K_t, L_t)}{\partial K_t} \frac{1}{L_t}$, and $\frac{\partial f(k_t)}{\partial K_t} = \frac{\partial f(k_t)}{\partial k_t} \frac{1}{L_t}$. So: $\frac{\partial F(K_t, L_t)}{\partial K_t} = f'(k_t)$.
 2. L_t : $\frac{\partial(\frac{F(K_t, L_t)}{L_t})}{\partial L_t} = \frac{\partial F(K_t, L_t)}{\partial L_t} \frac{1}{L_t} - \frac{F(K_t, L_t)}{L_t^2}$, and $\frac{\partial f(k_t)}{\partial L_t} = -\frac{\partial f(k_t)}{\partial k_t} \frac{k_t}{L_t}$. So: $\frac{\partial F(K_t, L_t)}{\partial L_t} - f(k_t) = -f'(k_t)k_t$.
- Using these in the expressions $w_t = \frac{\partial F(K_t, L_t)}{\partial L_t}$ and $r_{t+1} = \frac{\partial F(K_{t+1}, L_{t+1})}{\partial K_{t+1}} - \delta$ from the firm's problem section, we have:

$$r_{t+1} = f'(k_{t+1}) - \delta, \quad w_t = f(k_t) - f'(k_t)k_t$$

1.3.1 Steady State

We will say we are in the steady state when capital per capita remains constant thereafter; that is, k^* is a steady state level of capital per capita if $k_t = k^* \implies k_{t+1} = k^*$, which is the case if and only if Equation 3 is satisfied with $k_t = k^*, k_{t+1} = k^*$:

$$k^* = \frac{s_{Y,t}(f(k^*) - f'(k_t)k^*, f'(k^*))}{n}. \quad (4)$$

There are some natural questions to ask:

1. **Does a steady state exist? Is it unique, or how many are there?**
2. **Do we necessarily converge to it? Is it locally convergent (in which case, we would say it is a stable steady state)?** By convergence to k^* , we mean that, starting from some k_0 , as time goes to infinity, we move closer and closer to k^* . By local convergence to k^* , we mean that if we start with k_0 sufficiently close to k^* , then we converge to k^* .

There is always a trivial steady state with zero capital. We will typically discard this degenerate steady state, and focus with steady states with positive capital.

Without further assumptions on the utility function, it is difficult to say much about these questions: the savings function could be such that there does not exist any steady state, or such that there exist more than one. We will analyze these questions in the particular cases below.

Efficiency: Here, we ask: is the steady state equilibrium of the OLG model efficient? Short answer: not necessarily.

To assess this, we would compare welfare under the steady state of the competitive equilibrium (i.e., the previous equilibrium) with the social optimal (i.e., the welfare that would be obtained if a social planner were to make the decisions).

Here, compared to a model with a representative consumer, a problem arises: how should we weight the welfare of different generations? To avoid having to resolve this issue, we can restrict our focus on **Pareto optimality**. Recall that an equilibrium is Pareto optimal if you cannot improve someone's utility without harming another person.

The social planner would choose young and old consumption to maximize welfare (as mentioned above, not clear how to define it with different consumers), subject to the aggregate resource constraint $Y_t = C_t + K_{t+1} - (1 - \delta)K_t$. Since our focus is in the steady state in per capita terms, divide this constraint by L_t , to get:

$$f(k) = c + n k - (1 - \delta) k,$$

where $c := \frac{C_t}{L_t} = c_Y + \frac{c_O}{n}$, where c_Y and c_O are the steady state levels of consumption of a young individual and an old individual, respectively. Note that the planner could solve this in two steps: first, choose aggregate savings per capita (i.e., k) such that consumption per capita c is maximized, and then allocate the aggregate consumption between young and old

consumers. That is, in the first step, the planner solves:

$$\max_k c(k) = Ak^\alpha + k(1 - \delta - n)$$

Note that this first step refers to Pareto optimality: if $c(k_1) < c(k_2)$, then k_2 is a Pareto improvement over k_1 (for instance, increasing k from k_1 to k_2 , you could maintain the consumption of young and increase the consumption of old).

Now, Given that $c'(k) = \alpha \frac{f(k)}{k} + (1 - \delta - n)$:

- If $n < 1$, we have a degenerate steady state with no population (recall n was defined as the number of new young people generated from each young person; so $n < 1$ means population declines sustainedly).
- If $n > 1$, then the first-order condition says that the planner will choose k^S such that

$$\alpha A(k^S)^{\alpha-1} = n - (1 - \delta) (> 0).$$

That is, such that the marginal product of capital per capita equals the sum of the population growth rate and the depreciation rate (that is, the marginal units of capital per capita that are just enough to compensate for the depreciation of capital and to keep up with population growth).

Solving for k^S (golden rule capital per capita):

$$k^S = \left(\frac{\alpha A}{n - 1 + \delta} \right)^{\frac{1}{1-\alpha}}$$

So, we have to compare k^S with k^* from Equation 7. The competitive equilibrium is only efficient if $k^S = k^*$; otherwise there is dynamic inefficiency: consumers may over-accumulate capital $k^S < k^*$ or under-accumulate capital $k^S > k^*$.

There is over-accumulation (that is, the social planner would want consumers to save less) if and only if:

$$\frac{\alpha}{n - 1 + \delta} < \frac{\beta}{1 + \beta} \frac{(1 - \alpha)}{n}.$$

This is more likely to be the case when:

- α is close to 0. The social planner internalizes that increasing k today will allow more production tomorrow. When α is close to 0, this effect is almost negligible (regardless of the level of k , production will be almost the same), and so the social planner sees increasing k as a waste of resources.

- The discount factor β is closer to 1 (i.e., the higher the value placed on future utility). The consumer saves when young because they value utility (from consumption) when old. The higher β , the greater the weight the consumer places on old-age consumption, and thus the more they want to save.
- The smaller the difference $n - (1 - \delta)$ (≥ 0). On the one hand, the higher the depreciation rate δ , the more likely the inequality holds. If $\delta = 1$, then capital accumulated today is only used for production for one period, after which it loses all its value. Thus, the planner internalizes that the social value of accumulating capital to increase future production is low. On the other hand, the planner internalizes that the marginal cost of increasing capital per capita increases with population growth (a higher n implies that more resources are needed to maintain a given level of capital per capita). Note that if $n = 1 - \delta$, then the planner internalizes that it can keep the same level of capital per capita without saving: capital decreases over time, but at the same rate at which the population is declining.

1.4 Particular specifications of $u(c)$

1.4.1 Logarithmic preferences

Consumer problem: If $u(c) := \ln c$, then Equation 1 reads:

$$-\frac{1}{w_t - s_{Y,t}} + \beta(1 + r_{t+1})\frac{1}{(1 + r_{t+1})s_{Y,t}} = 0.$$

On the one hand, we can rewrite it using $c_{Y,t} = w_t - s_t$ and $c_{O,t+1} = s_{Y,t}(1 + r_{t+1})$ (budget constraints) to obtain the Euler equation (which characterizes the evolution of consumption):

$$\frac{c_{O,t+1}}{c_{Y,t}} = \beta(1 + r_{t+1}). \quad (5)$$

On the other hand, we can solve for $s_{Y,t}$:

$$-\frac{1}{w_t - s_{Y,t}} + \beta(1 + r_{t+1})\frac{1}{(1 + r_{t+1})s_{Y,t}} = 0 \implies 1 = \beta \frac{w_t - s_{Y,t}}{s_{Y,t}} \implies s_{Y,t} = w_t \frac{\beta}{1 + \beta}.$$

Then, from the 1st period budget constraint $c_{Y,t} = w_t - s_t$, we have consumption in the young stage:

$$c_{Y,t} = w_t \frac{1}{1 + \beta}.$$

And then, using the Euler equation, we get the consumption at the old stage:⁸

$$c_{O,t+1} = w_t(1 + r_{t+1}) \frac{\beta}{1 + \beta}.$$

Law of motion of capital: Using the savings function we have found: $s_{Y,t}(w_t) = w_t \frac{\beta}{1 + \beta}$, together with the expression of wage from the firm's problem, $w_t = (1 - \alpha) \frac{Y_t}{L_t} = (1 - \alpha) A k_t^\alpha$; then, Equation 3 becomes:

$$k_{t+1} = k_{t+1}(k_t) := \frac{\beta}{1 + \beta} \frac{(1 - \alpha) A}{n} k_t^\alpha. \quad (6)$$

For convenience, we can define $\gamma := \frac{\beta}{1 + \beta} \frac{(1 - \alpha) A}{n}$; so that $k_{t+1}(k) = \gamma k^\alpha$.

Now, is there a steady state? If so, how many? And do we necessarily converge to this steady state?

We can directly solve for $k^* > 0$ such that $k^* = \gamma k^{*\alpha}$:

$$k^* = \gamma^{\frac{1}{1 - \alpha}}. \quad (7)$$

So, by directly finding the steady state level of capital per capita, we have proved the existence of a steady state, and its uniqueness. Next, we will show that k_t monotonically converges to k^* , regardless of the initial k_0 (for a graphical proof, see Figure 1):

Proof. We need to prove that (i) $k_t < k^* \implies k_t < k_{t+1}(k_t) \leq k^*$ and (ii) $k_t > k^* \implies k_t > k_{t+1}(k_t) \geq k^*$.

1. First, $k'_{t+1}(k_t) = \alpha \gamma k_t^{\alpha - 1} > 0$, together with $k^* = k_{t+1}(k^*)$ implies: $k_t < k^* \implies k_{t+1}(k_t) < k^*$, and $k_t > k^* \implies k_{t+1}(k_t) > k^*$. So, we are only left to prove: (i) $k_t < k^* \implies k_t < k_{t+1}(k_t)$ and (ii) $k_t > k^* \implies k_t > k_{t+1}(k_t)$.
2. Note that for $k_t = 0$: $k_t = 0 = k_{t+1}(k_t)$, and $\lim_{k \rightarrow 0} k'_{t+1}(k) = \infty > 1 = \frac{\partial k_t}{\partial k_t}$, which implies that for $\epsilon > 0$ sufficiently small we have $k_t < k_{t+1}(k_t)$ for any $k_t \in (0, \epsilon]$.
3. Given that we already know there is only one steady state, and since the function $k_{t+1}(k_t) - k_t$ is continuous, then $k_t < k_{t+1}(k_t)$ for any $k_t < k^*$.
4. Note that $k'_{t+1}(k^*) < 1$: By contradiction, suppose $1 \leq k'_{t+1}(k^*) = \lim_{\delta \rightarrow 0} \frac{k_{t+1}(k^*) - k_{t+1}(k^* - \delta)}{\delta}$, which implies $k^* = k_{t+1}(k^*) \geq k_{t+1}(k^* - \delta) + \delta \iff k^* - \delta \geq k_{t+1}(k^* - \delta)$.

⁸Equivalently, you can get it using the solution for $s_{Y,t}$ and the 2nd period budget constraint $c_{O,t+1} = s_{Y,t}(1 + r_{t+1})$.

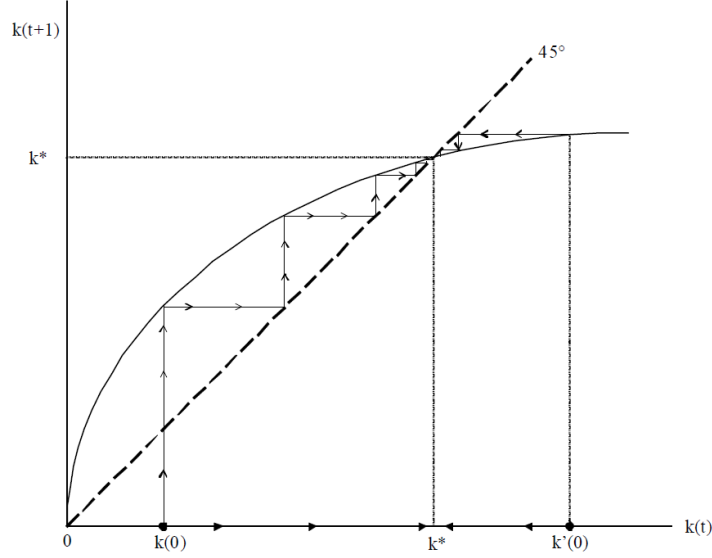


Figure 1: Illustration of the monotone convergence and dynamics of k_t in the basic log utility and Cobb-Douglas production function OLG model.

But from the previous point, given that $k^* - \delta < k^*$, we have the contradiction: $k^* - \delta \geq k_{t+1}(k^* - \delta) > k^* - \delta$.

5. Finally, given that $k''_{t+1}(k_t) = -(1 - \alpha) \frac{k'_{t+1}(k_t)}{k_t} < 0$ and in the previous point we have seen that $k'_{t+1}(k^*) < 1$; then $k'_{t+1}(k_t) < 1$ for all $k_t \geq k^*$, and so: $k_{t+1}(k_t) < k_{t+1}(k^*) + (k_t - k^*) = k_t$, for any $k_t > k^*$, as wanted.

■

1.4.2 Constant Intertemporal Elasticity of Substitution utility function

If $u(c) := \frac{c^{1-\theta}-1}{1-\theta}$, which is a Constant Intertemporal Elasticity of Substitution (CIES) utility function (below, we will see why), then Equation 1 reads:

$$-(w_t - s_{Y,t})^{-\theta} + \beta(1 + r_{t+1})(s_{Y,t}(1 + r_{t+1}))^{-\theta} = 0. \quad (8)$$

On the one hand, we can solve as before for $s_{Y,t}$, and now we get:

$$(w_t - s_{Y,t})^{-\theta} = \beta(1 + r_{t+1})^{1-\theta} s_{Y,t}^{-\theta} \implies \frac{1}{\beta(1 + r_{t+1})^{1-\theta}} = \left(\frac{w_t}{s_{Y,t}} - 1 \right)^{\theta} \implies s_{Y,t} = w_t \frac{\beta^{\frac{1}{\theta}} (1 + r_{t+1})^{\frac{1-\theta}{\theta}}}{1 + \beta^{\frac{1}{\theta}} (1 + r_{t+1})^{\frac{1-\theta}{\theta}}}.$$

As before, using the budget constraints, you can get the levels of young and old consumption. Note that for $\theta = 1$, we have exactly the same savings function as in the log case (in fact, as

shown in the footnote, the log utility is a particular case of the CIES utility with $\theta = 1$).⁹ You can also check that when $\theta < 1$ (resp. $\theta > 1$), then $s_{Y,t}$ is increasing (resp. decreasing) in r_{t+1} ; that is, the substitution (resp. income) effect dominates.

On the other hand, using $c_{Y,t} = w_t - s_t$ and $c_{O,t+1} = s_{Y,t}(1 + r_{t+1})$ (budget constraints), we can obtain the Euler equation:

$$\frac{c_{O,t+1}}{c_{Y,t}} = (\beta(1 + r_{t+1}))^{\frac{1}{\theta}}. \quad (9)$$

We define the Intertemporal Elasticity of Substitution (IES) of an individual $\sigma := \frac{\partial \frac{c_{O,t+1}}{c_{Y,t}}}{\partial r_{t+1}}$ as how much the growth of consumption of the individual changes when the interest rate increases. From the Euler equation above, it is straightforward that in the CIES utility case, we have $\sigma = \frac{1}{\theta}$. So:

1. $\theta < 1$ implies $IES > 1$ and so the substitution effect dominates and an increase in r_{t+1} induces the consumer to consume less today and save more, because future consumption is now relatively cheaper (more rewarding).
2. $\theta > 1$ implies $IES < 1$ and so the income effect dominates and an increase in r_{t+1} induces the consumer to save less, thereby increasing not only future consumption but also present consumption.

1.5 Exercises:

Exercise 1: Consider the OLG model discussed in class with logarithmic utility and the following Cobb-Douglas function $Y_t = AK_t^\alpha L_t^{1-\alpha}$. The household works for a wage w_t when young and has no labor income when old, but can save (r_t is the gross interest rate). The firm is competitive.

1. Obtain the optimal consumption path and saving function for the household.
2. Derive how the per capita capital stock k_{t+1} tomorrow depends on the per capita capital stock k_t today.
3. Explain the impact of an increase in n in k_{t+1} .
4. Find the steady state capital stock(s) in the economy. How many steady states are there?

⁹Note that $\lim_{\theta \rightarrow 1} \frac{c^{1-\theta}-1}{1-\theta} = \lim_{h \rightarrow 0} \frac{c^h-1}{h} = \frac{\partial c^x}{\partial x} \Big|_{x=0} = \ln c \cdot c^0 = \ln c$.

Exercise 2: Consider the OLG model discussed in class with logarithmic utility and Cobb-Douglas production function $Y_t = BK_t^\alpha (A_t L_t)^{1-\alpha}$. Markets are competitive (labor and capital earn their marginal products and firms earn zero profits). The young divide their labor income $w_t A_t$ between consumption and saving (w_t represents wage per unit of effective labor).

1. Write down the household problem (the utility and budget constraints).
2. Obtain the saving function for the household.
3. Let k_t be the capital per unit of effective labor. Obtain the equation for k_{t+1} as a function of k_t .
4. Describe how k_{t+1} is affected by a reduction in B .
5. Describe how k_{t+1} is affected by an increase in α .

2 Pension Systems